

Executive Summary for Stakeholders

The **Nassau Candy Product Line Profitability Analysis** provides a data-driven assessment of product, division, cost, pricing, and profit concentration performance. The analysis shows that the business generates an overall **average gross margin of 66.51%**, indicating strong overall profitability; however, profitability is highly concentrated within a small number of products and the Chocolate division. This concentration creates both a significant strength and a potential business dependency risk.

The analysis identified **five core Wonka Bar products**—Scrumdiddlyumptious, Triple Dazzle Caramel, Milk Chocolate, Nutty Crunch Surprise, and Fudge Mallows—as the primary profit engines. Together, these products generate approximately **\$88,824.62 in gross profit, representing 95.06% of total gross profit** and approximately **92.88% of total sales**. The Chocolate division similarly dominates the portfolio, contributing **\$88,824.62 in gross profit and 95.06% of total profit**. This indicates that maintaining availability, pricing discipline, cost efficiency, and customer demand for the core Chocolate portfolio should be a strategic priority.

The analysis also highlights products requiring management attention. **Kazookles** is the most significant margin-risk product, with only a **7.69% gross margin** and **\$0.25 profit per unit**, indicating a need for detailed cost and pricing review. Other lower-scale products, including Fun Dip, Nerds, Sweetarts, and Wonka Gum, contribute relatively little to total profit and should be evaluated based on their strategic role, growth potential, and operational cost rather than being discontinued solely on current profitability.

Profit concentration analysis further indicates that the business is dependent on a limited number of products. The **top four products contribute 77.30% of total gross profit**, while the fifth product takes cumulative contribution beyond the 80% threshold. This concentration should be actively monitored because disruption to one or more leading products could have a disproportionate impact on overall profitability.

From a geographic perspective, **California contributes \$27,917.40 in sales and \$18,479.42 in gross profit**, while **New York contributes \$15,541.03 in sales and \$10,222.44 in gross profit**. Together, these two states account for approximately **30.65% of total revenue**, making them important markets for continued customer retention and growth initiatives.

Key Stakeholder Recommendations

1. **Protect and invest in the five core Chocolate products** that generate the majority of company profit.
2. **Conduct an immediate cost and pricing review of Kazookles**, given its exceptionally low 7.69% gross margin.
3. **Review low-profit products individually** based on strategic importance, customer demand, growth potential, and operating costs before making rationalization decisions.
4. **Reduce excessive dependence on the Chocolate portfolio** by identifying opportunities to scale profitable products in the Other and Sugar divisions.
5. **Use pricing and cost analytics regularly** to identify margin deterioration before it materially affects profitability.

6. **Prioritize California and New York** for retention and targeted growth because of their significant contribution to revenue and gross profit.
7. **Monitor profit concentration as a management KPI** so that the organization can identify emerging dependency risks and diversify the profit base over time.

Overall Stakeholder Conclusion

The analysis demonstrates that **Nassau Candy has a strong profitability base, but its profit structure is highly concentrated**. The immediate priority should be to protect the high-performing Chocolate portfolio while addressing low-margin products and gradually developing additional sources of profitable growth. A balanced strategy of **retaining high-value products, improving cost and pricing discipline, reviewing low-margin products, and diversifying profit contribution** can strengthen both short-term financial performance and long-term portfolio resilience.